

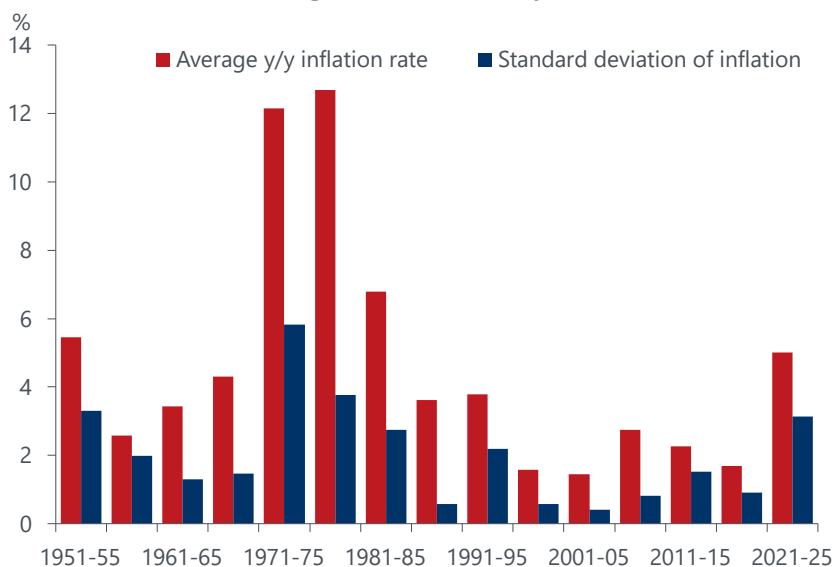
Research Briefing | UK

Mild stagflation is likely to keep MPC divided

- The Bank of England's Monetary Policy Committee is likely to face a tricky balancing act this year, because of weaker-than-expected economic growth (and rising unemployment) accompanied by stickiness in pay growth and core services inflation. In effect, both the upside and downside scenarios outlined in the November Monetary Policy Report are likely to occur, leading to mild stagflation. Those scenarios are not mutually exclusive.
- The UK's bias to mild stagflation is largely a side-effect of the series of major adverse supply shocks in recent years, which caused high and volatile inflation, as well as weakness and volatility in activity and jobs. The scarring from these shocks has lifted inflation expectations, contributing to sticky pay growth. Scarring also has made firms and households more uncertain, creating a desire for higher precautionary savings and discouraging investment. Higher interest rates – needed to restrain inflation expectations – are further capping spending.
- The MPC is likely to cut rates gradually this year. Sticky pay growth will prevent it from easing rapidly in response to sluggish growth and rising unemployment. We expect just two 25bp rate cuts this year, with Bank Rate falling to 3.25% at year-end.

Chart 1: In the last few years, inflation has been much higher and more volatile than in recent decades

UK: CPI inflation averages and variability



Source: Oxford Economics/Haver Analytics

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The MPC's scenarios are not mutually exclusive

The MPC's central forecast in the [November MPR](#) was for modest GDP growth this year of 1.2% y/y (around trend), with the jobless rate levelling off at around 5.0% (similar to current levels), and private sector regular pay growth slowing to a target-consistent pace of 3.2% y/y in Q4 (and around 3% y/y in 2027 and 2028). In this forecast, CPI inflation slows close to the 2% target in late 2026.

Further ahead, the forecast anticipates higher economic growth in 2027 and 2028, with the output gap closing, unemployment falling below current levels, and inflation very close to the 2% target.

In the November Report and at the subsequent [December monetary policy meeting](#), the MPC described two alternative scenarios for the economic outlook:

- An upside risk to inflation partly based on greater inflation persistence, with elevated inflation expectations keeping pay growth above a target-consistent pace; and
- A downside risk to inflation from greater weakness in output, especially consumer spending, leading to a further rise in unemployment and slack.

Most MPC members believe that one or the other scenario is more likely to occur, and hence divide into two distinct groups – respectively, hawks and doves – in their policy views. However, in our view, that emphasis on these two scenarios as alternative outcomes is misplaced. The scenarios are not mutually exclusive.

The first is mainly an adverse supply shock that lifts inflation without generating higher growth, while the second is mainly a negative demand shock that reduces both growth and inflation. We suspect that both scenarios are likely to occur together, with weaker growth and higher unemployment, but also higher pay growth than the MPC forecasts. In other words, a rather stagflationary outcome, albeit relatively mild compared to the 1970s, is likely.

Growth likely to undershoot the MPC forecast...

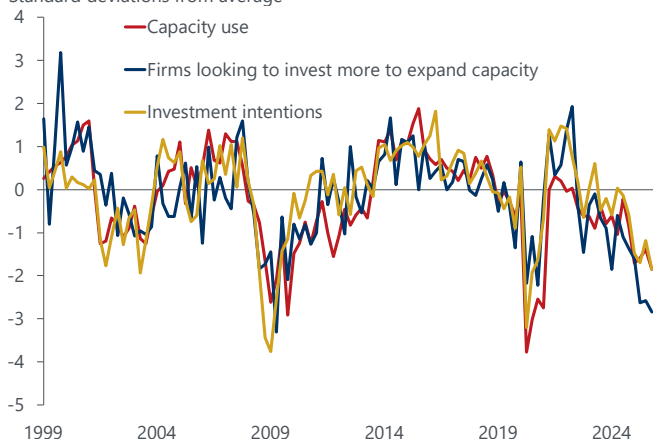
[We forecast](#) GDP growth of about 0.9% y/y this year, a little below trend and undershooting the MPC's forecast. Like the MPC, we expect sluggish consumer spending, given the prospect that rising taxes will slow real income growth and [precautionary savings will keep the savings rate relatively high](#).

In addition, we are somewhat more pessimistic than the MPC on prospects for investment and net trade. Exports are likely to be restrained by the modest pace of global growth, while business investment will be hindered by weak corporate profitability, ongoing trade policy uncertainty, and low capacity use.

Chart 2: Firms' investment intentions are very gloomy

UK: Business surveys of capacity use and investment

Standard deviations from average



Source: Oxford Economics/Haver Analytics

Recent business surveys are gloomy, with very weak readings for firms' investment intentions and confidence in their export prospects. The share of firms that say it's worth investing more to expand

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capacity is around the lowest levels of recent decades in both manufacturing and services. Moreover, the share of firms that cite uncertainty about demand as a reason not to invest is well above average.

Moreover, there is little sign of a recovery in construction, and the latest report from the [BoE Agents](#) notes: "Construction activity is down, with new house building and commercial projects remaining below last year's levels due to high build and funding costs."

In turn, sluggish growth is likely to lead to a further rise in unemployment, especially given the erosion of low-paid employment after last year's hike in National Insurance Contributions and the ongoing rise in the National Living Wage (NLW). Although there are uncertainties about the official employment data, surveys of firms' hiring intentions suggest that underlying job growth is around zero, well below workforce growth.

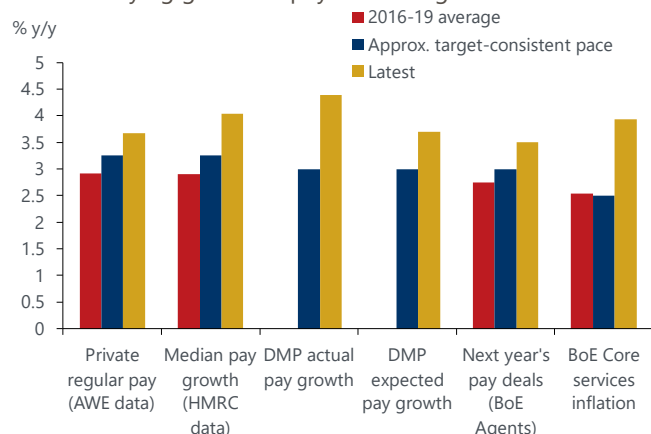
...and pay likely to overshoot the MPC forecast

Base effects helped slow private regular pay growth to 3.5% y/y in November (latest data), close to the pace (about 3.25% y/y) consistent with the inflation target. These base effects will continue to cap pay growth in the near-term. In addition, since the November MPR, the Budget included measures to freeze rail fares, cut household energy prices, and postpone the planned rise in fuel duties. These measures are likely to reduce CPI inflation [close to the 2% target](#) in Q2 this year.

However, once those temporary effects fade, sticky pay growth creates risks that CPI inflation will settle somewhat above the 2.0% target over time. Underlying pay growth is probably around 4% y/y currently. Similarly, the BoE's core services inflation measure is just below 4% y/y, versus a target-consistent pace of around 2.5% y/y.

Chart 3: Underlying cost and price growth remains above levels consistent with the inflation target

UK: Underlying guides to pay and cost growth



Source: Oxford Economics / Haver Analytics

Moreover, recent guides suggest that private regular pay growth this year will exceed the MPC's forecast (which is for 3.2% y/y pay growth in Q4). The BoE Agents report suggests that this year's private sector pay deals are likely to average about 3.5%. That is only marginally down from the Agents survey for 2025 pay deals a year earlier (3.7%) and, despite rising unemployment, well above the 2016-2019 average (2.8%). Meanwhile, the Decision Maker Panel survey median for pay growth a year ahead was 3.7% in the last three months, up slightly since Q3.

Allowing for normal pay drift (the gap between private regular pay growth and surveys of pay deals), the agents and DMP surveys both point to private regular pay growth of about 4% a year ahead (i.e. Q4 this year), clearly above both a target-consistent pace and the MPC's forecast. There is evidence that pay drift varies with labour market conditions. Even so, pay drift would have to be unusually soft to allow private regular pay growth to match the MPC's forecasts.

The stickiness of pay growth probably mainly reflects elevated levels of both inflation perceptions and inflation expectations, which have been dislodged by the long period of above-target inflation. Over the last five years, CPI inflation has averaged 5.0% y/y, the highest five-year average since the early 1980s and

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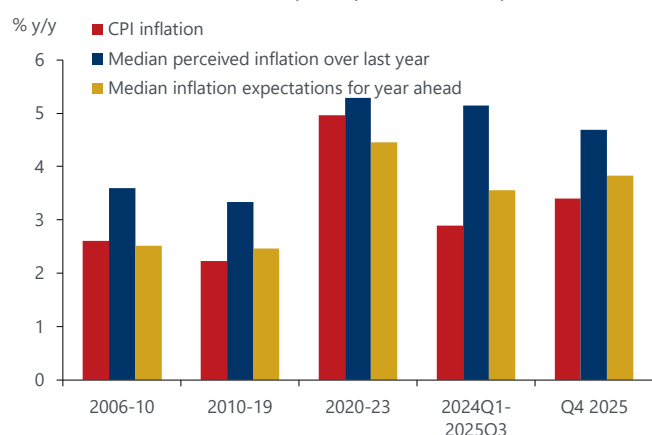
above the [threshold of about 4%](#) at which inflation gets a lot more public attention. Moreover, the variability of inflation (i.e. standard deviation) has been the highest since the 1970s ([Chart 1](#)).

On average, households believe [inflation currently is 4.7% y/y](#) and expect inflation of 3.6% y/y over the coming year and close to 4% y/y in the next 5-10 years ([Chart 4](#)). These readings are well above the current inflation rate (3.2% y/y) and the inflation target (2.0%). They are also well above equivalent readings for the pre-pandemic period: over 2010-2019, CPI inflation averaged 2.2% y/y, inflation perceptions averaged 3.3% and year-ahead inflation expectations averaged 2.5%.

The rise in inflation perceptions and expectations creates pressure for higher pay growth both to catchup with previous inflation and to keep up with future expected inflation. Moreover, firms are more likely to agree to higher pay deals if they also expect a more inflationary environment, because they will assume they can pass costs on to selling prices.

Chart 4: Inflation perceptions and expectations remain elevated

UK: CPI inflation, inflation perceptions and expectations



Source: Oxford Economics / Haver Analytics

Meanwhile, the [marked rise in the NLW](#) from 52% of median pay in 2015 to 66% this year has supported pay growth at the low end of the scale. And because the NLW rises in line with the previous year's pay growth, the increased bite of the NLW – including its effects on people slightly above the NLW – probably has limited the extent and speed with which pay responds to rising unemployment.

In turn, sticky pay growth will probably keep core services inflation above a target-consistent pace this year. If this continues then, unless other parts of the CPI (e.g. goods, food, non-core services) are unusually soft, it would prevent a sustained return of inflation to the 2% target over time.

Why both upside and downside scenarios can occur at the same time

The UK's current bias to mild stagflation – sluggish economic growth and sticky pay growth – largely reflects side-effects of the series of adverse supply shocks (Brexit, the pandemic, energy price surge, hikes in NICs and the NLW) that have hit the UK economy in recent years.

These shocks have caused relatively high and volatile inflation, while also contributing to weakness and volatility in economic growth and employment. High and volatile inflation has lifted inflation perceptions and expectations, with inflation expectations partially de-anchored from the 2% target, contributing to sticky pay growth and a worse trade-off between unemployment and pay growth.

At the same time, increased volatility in activity and employment has made firms and households more uncertain about future growth in incomes and profits, hence creating a desire for [higher levels of precautionary savings among households](#) and discouraging firms from investing. And this reluctance to spend has been exacerbated by the sharp rise in interest rates that, in turn, was largely caused by the need to rein in inflation expectations. Households and firms have faced a period of economic turbulence that would have been regarded as highly implausible 10 years ago.

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The scarring and resultant behavioural changes (elevated inflation expectations, increased caution over spending) have been particularly acute in the UK, because the supply shocks hitting the UK were relatively larger (the energy price surge) and more frequent (Brexit, government-induced hikes in business costs) than elsewhere.

Implications for monetary policy

Once near-term base effects on average earnings fade, the MPC is likely to continue to face a tricky balancing act between weaker-than-expected economic growth and rising unemployment, but higher-than-expected pay growth.

The MPC can return inflation to target even if inflation expectations and perceptions remain relatively high. The MPC remains committed to the 2% inflation target and has the monetary policy tools to prevent inflation overshooting that target on a sustained basis. But this would probably require a persistent degree of economic slack and relatively high unemployment to provide a disinflationary offset to elevated inflation expectations, rather than the more benign outcome in the MPC's central forecast.

Under these conditions, MPC easing is likely to remain gradual. We expect the MPC will cut rates to 3.25% at year-end – i.e. two 25bp cuts. In effect, with elevated inflation expectations, the MPC will be forced to set policy to restrain the economy to a sluggish pace to keep unemployment above its medium-term equilibrium. But the MPC may well remain divided, with individual Committee members emphasising one scenario or the other, rather than both.

How persistent is the UK's stagflationary bias?

If further supply shocks are relatively small or infrequent, then the after-effects of recent economic turbulence – and hence the current bias to mild stagflation – may fade over time. For example, cautious MPC easing and relatively high unemployment this year would keep inflation close to target in 2026-2027, which might eventually produce a gradual decline in inflation expectations to levels consistent with the inflation target.

Lower inflation expectations would reduce the neutral level of interest rates and also provide scope for the MPC to cut below neutral if needed, to generate above-trend growth that closes the output gap. In turn, a period of economic stability and lower unemployment would reduce the desire for precautionary saving among households, boosting consumer spending and encourage firms to invest more.

But we aren't there yet. The recent economic volatility has been so dramatic that it probably will take some time for the scarring effects to fade. And, of course, if further adverse supply shocks create further volatility in inflation and output, then the route back to lower inflation expectations, an improved relationship between pay growth and unemployment, and scope for stronger growth, will be even more protracted.